

COMPLETE LEARNING SESSION

Finance Commission - Solved Practice Workbook

SOLVED PRACTICE WORKBOOK

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

WORKBOOK CONTENTS

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Finance Commission - Solved Practice Workbook

Control date: 8 September 2026 **Discipline:** exactly 32 MCQs before PYQs; key sequence ABCD repeated eight times; every option explained; one distinct trap per MCQ; official-key status stated for every PYQ.

Exactly 32 original MCQs appear before the PYQs. Correct-option sequence: ABCD repeated eight times.

BASIC MCQS / REMEDIATION

MCQ 1. Article 280 requires the President to constitute a Finance Commission:

A. every fifth year or earlier if the President considers necessary B. every five years only after a parliamentary resolution C. annually before the Union Budget D. whenever a majority of States requests one

Answer: A

Option-specific explanations:

- **A:** Article 280(1) expressly combines a five-year cycle with an earlier-constitution power.
- **B:** No parliamentary resolution is a precondition to constitution under Article 280.
- **C:** The Commission is periodic, not an annual pre-Budget body.
- **D:** State demand may influence politics but is not the constitutional trigger.

Examiner trap 1: The word 'or earlier' is frequently omitted in close options.

MCQ 2. The constitutionally fixed composition of a Finance Commission is:

A. Chairman plus three members B. Chairman plus four other members C. five members plus Chairman D. a number fixed by each constituting order

Answer: B

Option-specific explanations:

- **A:** Three other members would understate the Article 280 composition.
- **B:** Article 280(1) fixes a total of five: one Chairman and four others.
- **C:** This would create six persons and is a standard numerical distractor.
- **D:** The order names members but cannot alter the constitutional size.

Examiner trap 2: Chairman plus four means five total, not six.

MCQ 3. Who is constitutionally authorised to determine Finance Commission member qualifications by law?

A. President B. Union Cabinet C. Parliament D. Supreme Court

Answer: C

Option-specific explanations:

- **A:** The President appoints but Article 280(2) does not confer the law-making role on the President.
- **B:** The Cabinet may advise executive action but does not replace Parliament's statutory authority.
- **C:** Article 280(2) authorises Parliament, which enacted the 1951 Act.
- **D:** The Supreme Court interprets law; it does not prescribe these qualifications.

Examiner trap 3: Appointment by President does not mean qualifications are presidentially legislated.

MCQ 4. Under the 1951 Act, the Chairman should be selected from persons with:

A. special knowledge of economics only B. experience as a High Court judge only C. government accounting certification D. experience in public affairs

Answer: D

Option-specific explanations:

- **A:** Economics is one pool for the other members, not the Chairman's exclusive qualification.
- **B:** Judicial qualification is an other-member category.
- **C:** The Act speaks of knowledge of government finance and accounts for an other-member pool, not this credential.
- **D:** Section 3 identifies experience in public affairs for the Chairman.

Examiner trap 4: Do not transfer the economist or judge category to the Chair.

MCQ 5. Which is one statutory qualification pool for an 'other member'?

A. A person qualified to be appointed a High Court judge B. A sitting Member of Parliament C. A serving Governor D. A former CAG only

Answer: A

Option-specific explanations:

- **A:** Section 3 includes a High Court judge, former judge or person qualified to be one.
- **B:** Legislative office is not a listed expertise category.
- **C:** Gubernatorial office is not a statutory qualification pool.
- **D:** Government-finance knowledge is broader than holding the office of CAG.

Examiner trap 5: The statute lists expertise categories, not designated constitutional offices.

MCQ 6. The Finance Commission's inquiry powers are best described as:

A. identical to the Supreme Court's appellate powers B. specified civil-court powers while the Commission determines its procedure C. ordinary criminal-court jurisdiction D. powers exercisable only through CAG

Answer: B

Option-specific explanations:

- **A:** The Commission has no appellate constitutional jurisdiction.
- **B:** Section 8 combines self-determined procedure with listed civil-court powers for evidence.
- **C:** Its mandate is recommendatory fiscal inquiry, not criminal adjudication.
- **D:** CAG certification is vital, but the Commission's statutory powers are its own.

Examiner trap 6: Quasi-judicial style is not judicial status.

MCQ 7. Which statement best captures the legal status of Finance Commission recommendations?

A. They automatically amend tax law. B. They bind courts but not Parliament. C. They are advisory but carry constitutional and political weight. D. They are enforceable only after GST Council endorsement.

Answer: C

Option-specific explanations:

- **A:** A recommendation cannot by itself enact or amend a law.
- **B:** Courts are not bound to administer an FC award as a decree.
- **C:** Articles 280-281 create reasoned advice with public accountability, not self-executing commands.
- **D:** GST Council endorsement is unrelated to an FC report's legal status.

Examiner trap 7: Advisory does not mean institutionally insignificant.

MCQ 8. Article 281 requires the President to place before each House:

A. only the accepted recommendations B. only a State-wise devolution table C. the report after a prior parliamentary vote D. the recommendations and an explanatory memorandum on action taken

Answer: D

Option-specific explanations:

- **A:** Article 281 is not limited to accepted portions.
- **B:** A table alone cannot satisfy the constitutional disclosure.
- **C:** The Article requires laying, not a prior legislative vote.
- **D:** This is the precise report-plus-memorandum accountability requirement.

Examiner trap 8: Laying and approving are different parliamentary acts.

MCQ 9. Under Article 279, 'net proceeds' means:

A. tax or duty proceeds reduced by cost of collection B. gross tax revenue after grants C. Union revenue after interest payments D. divisible pool after horizontal allocation

Answer: A

Option-specific explanations:

- **A:** Article 279 uses the collection-cost deduction and CAG certification.
- **B:** Grants are a separate transfer and are not deducted to define net proceeds.
- **C:** Interest expenditure is not the constitutional deduction in this definition.
- **D:** Horizontal allocation occurs after the shareable net proceeds are identified.

Examiner trap 9: Net proceeds precede devolution; they are not the post-devolution remainder.

MCQ 10. Which item is constitutionally excluded from Article 270 sharing?

A. Every amount of central GST B. An Article 271 surcharge for Union purposes C. All corporation-tax proceeds D. Every inter-State transaction

Answer: B

Option-specific explanations:

- **A:** Article 270(1A) incorporates relevant GST amounts into distribution.
- **B:** Article 271 surcharge proceeds belong wholly to the Union.
- **C:** Corporation tax is not universally outside the divisible pool.
- **D:** Inter-State supplies are handled through Article 269A apportionment, not blanket exclusion.

Examiner trap 10: Do not treat 'Union levied' as automatically 'Union retained'.

MCQ 11. Article 269A is most directly associated with:

A. State Finance Commissions B. Article 275 grants C. levy, collection and apportionment of GST on inter-State supplies D. CAG certification of net proceeds

Answer: C

Option-specific explanations:

- **A:** SFCs arise under Articles 243-I and 243-Y.
- **B:** Grant principles are tied to Articles 275 and 280(3)(b).
- **C:** Article 269A is the inter-State GST levy-and-apportionment provision.
- **D:** CAG certification is Article 279.

Examiner trap 11: Article 269A is a GST route; Article 279A creates the GST Council.

MCQ 12. Which distinction between Article 279A and Article 280 is correct?

A. Both create the same periodic commission. B. Article 280 creates the GST Council. C. Article 279A fixes horizontal tax shares. D. Article 279A creates the GST Council; Article 280 creates the Finance Commission.

Answer: D

Option-specific explanations:

- **A:** The GST Council is continuing; the Finance Commission is periodic.
- **B:** Article 280 concerns the Finance Commission, not GST Council.
- **C:** Horizontal devolution is an FC recommendation, not an Article 279A formula.
- **D:** This correctly separates two constitutional recommendatory institutions.

Examiner trap 12: Similar article numbers and recommendatory roles invite institutional mixing.

MCQ 13. Vertical devolution answers which question?

A. What collective share of the divisible pool should States receive? B. How should one State divide money among municipalities? C. Which tax rate should the GST Council recommend? D. How should a State allocate its own-source revenue?

Answer: A

Option-specific explanations:

- **A:** Vertical devolution is the Union-versus-States collective split.
- **B:** Municipal distribution belongs to State/local finance arrangements.
- **C:** GST rates are outside the FC vertical-share task.
- **D:** State own-revenue allocation is not vertical devolution.

Examiner trap 13: Vertical is between levels, not within the State group.

MCQ 14. Horizontal devolution refers to:

A. division of GST rates across slabs B. allocation of the States' collective share among States C. allocation between rural and urban local bodies D. division of grants between response and mitigation

Answer: B

Option-specific explanations:

- **A:** GST slab design is a GST Council matter.
- **B:** Horizontal devolution is the inter se State allocation.
- **C:** RLB-ULB allocation is a local-grant design choice.
- **D:** Disaster-fund windows are not the horizontal tax formula.

Examiner trap 14: Horizontal does not mean every distribution occurring at the same governmental level.

MCQ 15. In FC-16, per-capita GSDP distance primarily advances:

A. uniform tax rates B. population control alone C. fiscal-capacity equalisation D. direct reimbursement of expenditure

Answer: C

Option-specific explanations:

- **A:** The criterion does not set tax rates.
- **B:** Demographic performance is a separate criterion.
- **C:** Larger distance from the benchmark gives lower-capacity States a larger relative allocation.
- **D:** It is a formula index, not reimbursement of audited bills.

Examiner trap 15: Income distance is an equalisation proxy, not a poverty or spending claim.

MCQ 16. FC-16's area criterion applies which floor?

A. 0.5 per cent B. 1 per cent C. 2 per cent D. 1.5 per cent

Answer: D

Option-specific explanations:

- **A:** The report does not set a 0.5 per cent floor.
- **B:** One per cent is not the Technical Note rule.
- **C:** Two per cent was used by recent predecessors and was reduced.
- **D:** FC-16 uses a 1.5 per cent floor and proportionately rescales larger States.

Examiner trap 16: The previous two-per-cent floor is a tempting carry-forward error.

MCQ 17. FC-16's forest variable includes:

A. weighted forest stock and increase, combined 80:20 B. only very dense forest area C. only forest increase after 2023 D. carbon-market revenue alone

Answer: A

Option-specific explanations:

- **A:** The report combines weighted stock with 2015-2023 increase in an 80:20 ratio.
- **B:** Moderately dense and open forest are also included with lower weights.
- **C:** The comparison ends in 2023 and does not use increase alone.
- **D:** Carbon-market revenue is not the defined horizontal criterion.

Examiner trap 17: FC-16 says forest, not the FC-15 label 'forest and ecology', and changes the method.

MCQ 18. FC-16 measures demographic performance through:

A. current total fertility rate B. inverse population growth between the 1971 and 2011 Censuses C. share of elderly population in 2026 D. female literacy growth after 2011

Answer: B

Option-specific explanations:

- **A:** Current TFR was not retained as the FC-16 calculation.
- **B:** The report uses inverse 1971-2011 population growth for the per-capita amount.
- **C:** Ageing informed debate but is not the formula variable.
- **D:** Female literacy is not a horizontal criterion.

Examiner trap 18: Do not carry FC-15's inverse-TFR method into FC-16.

MCQ 19. How is FC-16's contribution-to-GDP criterion transformed?

A. inverse of per-capita GSDP B. straight share of GST collections C. State square-root GSDP share in the sum of square-root GSDPs D. five-year average tax effort

Answer: C

Option-specific explanations:

- **A:** Inverse income belongs to an equalisation family, not the contribution measure.
- **B:** The criterion is based on GSDP, not GST collection share.
- **C:** The square-root transformation moderates extreme differences in output size.
- **D:** Tax effort is not a separate FC-16 criterion.

Examiner trap 19: GDP contribution is transformed; it is not a direct proportional output reward.

MCQ 20. Which FC-16 criterion carries 17.5 per cent weight?

A. forest B. area C. demographic performance D. population (2011)

Answer: D

Option-specific explanations:

- **A:** Forest carries 10 per cent.
- **B:** Area carries 10 per cent.
- **C:** Demographic performance carries 10 per cent.
- **D:** Population based on Census 2011 carries 17.5 per cent.

Examiner trap 20: The FC-15 population weight was 15 per cent; FC-16 raised it.

MCQ 21. Article 275 is most directly associated with:

A. grants-in-aid of revenues of States from the Consolidated Fund of India B. GST Council voting C. CAG appointment
D. State borrowing consent

Answer: A

Option-specific explanations:

- **A:** Article 275 is the constitutional grants-in-aid provision linked to FC principles.
- **B:** GST Council voting is Article 279A.
- **C:** The CAG office is principally Article 148.
- **D:** State borrowing consent is Article 293.

Examiner trap 21: Article 275 grants are distinct from Article 282 public-purpose grants.

MCQ 22. Which statement correctly distinguishes devolution from grants?

A. Both are the same percentage of gross tax revenue. B. Devolution shares net tax proceeds; grants are separate transfers for assessed principles or purposes. C. Grants alone are recommended by the Finance Commission. D. Devolution is always tied and grants always untied.

Answer: B

Option-specific explanations:

- **A:** They have different bases and cannot be collapsed into one GTR percentage.
- **B:** This captures the Article 270/280 versus Article 275 transfer distinction.
- **C:** Article 280(3)(a) expressly covers tax distribution.
- **D:** Either instrument's flexibility cannot be described by this absolute claim.

Examiner trap 22: A State receives both channels, but their legal character remains separate.

MCQ 23. Under the accepted FC-16 local-body design, which statement is correct?

A. All grants are tied. B. The performance component is 50 per cent. C. Basic and performance components are 80:20; half of basic is tied. D. Untied grants may be used without any restriction for salaries.

Answer: C

Option-specific explanations:

- **A:** Half of the basic component and all performance grants remain untied.
- **B:** Performance is 20 per cent, not 50 per cent.
- **C:** This states both the 80:20 and the within-basic 50:50 design correctly.
- **D:** The report bars salary and establishment use of untied grants.

Examiner trap 23: Do not confuse the 80:20 basic-performance split with the 50:50 tied-untied split inside basic.

MCQ 24. Article 280(3)(bb) and (c) require the Union Finance Commission to recommend:

A. direct municipal tax rates B. membership of every State Finance Commission C. district-wise grants paid without State involvement D. measures to augment State Consolidated Funds for Panchayat and Municipal resources

Answer: D

Option-specific explanations:

- **A:** Local tax rates are governed through State/local law.
- **B:** SFC composition is determined under State law pursuant to Article 243-I.
- **C:** The constitutional route is through augmentation of the State Consolidated Fund.
- **D:** This is the correct indirect local-body augmentation mandate.

Examiner trap 24: The Union FC supplements through the State; it is not a direct local allocator.

MCQ 25. A State Finance Commission is constituted by the:

A. Governor under Article 243-I B. President under Article 280 C. GST Council D. CAG

Answer: A

Option-specific explanations:

- **A:** Article 243-I places constitution of the SFC with the Governor.
- **B:** The President constitutes the Union Finance Commission.
- **C:** The GST Council does not appoint State Finance Commissions.
- **D:** The CAG audits and certifies but does not constitute SFCs.

Examiner trap 25: Both bodies use 'Finance Commission', but their appointing authorities and fiscal levels differ.

MCQ 26. What did FC-16 recommend regarding revenue-deficit grants for 2026-31?

A. A universal grant to every State B. No revenue-deficit grants C. Only one-year revenue-deficit grants D. Revenue-deficit grants only through GST Council

Answer: B

Option-specific explanations:

- **A:** The report did not create a universal RDG.
- **B:** FC-16 concluded that it would not recommend revenue-deficit grants.
- **C:** No one-year exception was stated in the recommendation.
- **D:** GST Council is not the grant-awarding institution.

Examiner trap 26: No current recommendation does not constitutionally abolish the grant category for future commissions.

MCQ 27. The accepted FC-16 corpus for SDRF and SD MF together over 2026-31 is:

A. Rs 79,406 crore B. Rs 1,63,521 crore C. Rs 2,04,401 crore D. Rs 7,91,493 crore

Answer: C

Option-specific explanations:

- **A:** Rs 79,406 crore is the national NDRF plus NDMF allocation.
- **B:** Rs 1,63,521 crore is the SDRF component alone.
- **C:** Rs 2,04,401 crore is the combined State-level SDRF and SD MF corpus.
- **D:** Rs 7,91,493 crore is the total local-body grant envelope.

Examiner trap 27: Three official grant totals test level and component, not mere memory.

MCQ 28. Which response term applies to the FC-16 State borrowing-ceiling quantum?

A. rejected B. taken note of only C. automatically constitutionalised D. accepted in principle

Answer: D

Option-specific explanations:

- **A:** The Explanatory Memorandum did not reject the recommended quantum.
- **B:** The 'takes note' formula applied to the no-RDG/sector/state-specific assessment.
- **C:** An executive response cannot itself constitutionalise a borrowing ceiling.
- **D:** The Government accepted in principle the quantum of State net borrowing ceilings.

Examiner trap 28: Accepted, accepted in principle and taken note of are not interchangeable.

MCQ 29. The main federal concern with rising cesses and surcharges is that they:

A. can reduce the divisible pool as a share of gross tax revenue B. are always unconstitutional C. are distributed only by State Finance Commissions D. automatically increase horizontal devolution

Answer: A

Option-specific explanations:

- **A:** Excluded levies can shrink the shareable base relative to total Union tax revenue.
- **B:** The Constitution expressly accommodates surcharge and specific-purpose cess exclusions.
- **C:** SFCs do not distribute Union cesses or surcharges.
- **D:** They do not automatically alter the inter se formula.

Examiner trap 29: A legitimate federal concern is not proof of constitutional invalidity.

MCQ 30. Why are off-budget borrowings relevant to Finance Commission analysis?

A. They determine GST Council votes. B. They can conceal liabilities and weaken credible deficit/debt assessment. C. They are always grants under Article 275. D. They are certified as divisible-pool taxes by CAG.

Answer: B

Option-specific explanations:

- **A:** Borrowing disclosure has no role in GST Council voting weights.
- **B:** Moving liabilities outside the budget can understate fiscal risk and debt.
- **C:** Borrowing and grants are different fiscal instruments.
- **D:** Debt liabilities are not taxes entering the divisible pool.

Examiner trap 30: A headline fiscal deficit may be incomplete if public entities borrow on government direction.

MCQ 31. What proposition from Mohit Minerals (2022) is safe to use here?

A. It fixed the States' Finance Commission share at 41 per cent. B. It included cesses in the divisible pool. C. GST Council recommendations are persuasive and non-binding; this is only a comparison. D. It invalidated Article 280.

Answer: C

Option-specific explanations:

- **A:** The judgment did not decide the FC-16 vertical share.
- **B:** It did not rewrite Articles 270-271.
- **C:** The Court's holding concerns GST Council recommendations and may be used comparatively with an express boundary.
- **D:** Article 280 was neither invalidated nor the subject of such a holding.

Examiner trap 31: Never convert a GST Council holding into a Finance Commission precedent.

MCQ 32. GST compensation is best located as:

A. a permanent Article 280 grant B. a CAG-created surcharge C. a State Finance Commission award D. a statutory GST-transition mechanism linked to GST Council history, not the FC constitutional core

Answer: D

Option-specific explanations:

- **A:** Compensation was not a permanent Article 280 grant category.
- **B:** The CAG does not create levies.
- **C:** SFCs concern State-local finance, not national GST compensation.
- **D:** The Compensation to States Act, 2017 implemented the GST transition guarantee and cess framework.

Examiner trap 32: GST compensation and Finance Commission devolution both affect States, but arise from different legal architectures.

PYQS AND ANSWER PRACTICE

Verified PYQ control

- **2018 GS-II Q14:** official question wording retained; descriptive papers have no official model-answer key.
- **2021 GS-II Q3:** official question wording retained; descriptive papers have no official model-answer key.
- **2023 Prelims Q29:** official question wording retained; the local official key was unavailable, so the answer is resolved from the official FC-15 report and is not labelled an official key.
- **2025 Prelims Q66:** official question wording retained; the official Set-A key records option C.
- **2025 GS-II Q14:** retained as an adjacent Centre-State financial-relations PYQ; the Finance Commission is one dimension, not the whole owner.

PYQ 1 - UPSC GS-II 2018, Q14 - 15 marks, 250 words

Question: How is the Finance Commission of India constituted? What do you know about the terms of reference of the recently constituted Finance Commission? Discuss.

Demand: constitution + question-time Fifteenth Commission terms of reference + significance/limits.

Model solution: The Finance Commission is a periodic constitutional body under Article 280. The President constitutes it every fifth year or earlier, and appoints a Chairman and four other members. Article 280(2) authorises Parliament to prescribe qualifications; the Finance Commission (Miscellaneous Provisions) Act, 1951 requires public-affairs experience for the Chairman and provides judicial, government-finance, financial-administration and economics pools for the other members.

Its permanent constitutional reference is to recommend vertical and horizontal distribution of shareable net tax proceeds, principles governing Article 275 grants, measures augmenting State Consolidated Funds for Panchayats and Municipalities on the basis of State Finance Commission recommendations, and other presidentially referred matters in the interests of sound finance.

In the question's 2018 setting, the recently constituted Fifteenth Finance Commission was also asked to examine Union-State finances, grants, local bodies, disaster management and fiscal consolidation in a changed tax and policy environment. Additional terms can widen inquiry but cannot displace Article 280's core.

Recommendations remain advisory. Yet Article 281 requires the report and an explanatory memorandum on action taken to be laid before Parliament, giving the award transparency and political weight.

PYQ 2 - UPSC GS-II 2021, Q3 - 10 marks, 150 words

Question: How have the recommendations of the 14th Finance Commission of India enabled the States to improve their fiscal position?

Model solution: The Fourteenth Finance Commission improved State fiscal space principally by raising their collective share in the divisible pool from 32 to 42 per cent for 2015-20.

First, the larger formula-based share increased predictable and relatively untied resources, enabling States to align spending with local priorities. Second, States gained more directly from buoyancy in shareable Union taxes. Third, greater general-purpose funds supported State-heavy functions such as health, education, agriculture and local infrastructure. Fourth, the change accompanied a wider shift away from plan-era discretionary assistance and placed greater responsibility on States for expenditure choices.

However, gains varied with each State's horizontal share, actual Union tax collection, grants, Centrally Sponsored Schemes, own revenue and debt pressures. Thus, FC-14 strengthened autonomy and budget predictability, but sustainable fiscal improvement still required State revenue effort and accountable spending.

PYQ 3 - UPSC Prelims 2023, Q29

Question: Consider the following:

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts

For horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population, area and income distance?

A. Only two B. Only three C. Only four D. All five

Resolution: Items 1, 2 and 5 were FC-15 criteria; governance reforms and stable government were not. Therefore the answer is **B, only three**. This is a report-based resolution, not an official-key claim.

PYQ 4 - UPSC Prelims 2025, Q66

Question: Which statements regarding recommendations of the Fifteenth Finance Commission are correct?

I. It recommended Rs 4,800 crore from 2022-23 to 2025-26 to incentivise States to enhance educational outcomes. II. 45 per cent of net proceeds of Union taxes were to be shared with States. III. Rs 45,000 crore was kept as performance-based incentive for States undertaking agricultural reforms. IV. It reintroduced tax effort criteria to reward fiscal performance.

A. I, II and III B. I, II and IV C. I, III and IV D. II, III and IV

Official-key-controlled solution: I, III and IV are correct; II is incorrect because the collective share was 41 per cent. The official UPSC Set-A key records **C**.

PYQ 5 - UPSC GS-II 2025, Q14 - adjacent owner

Question: Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have recent reforms impacted fiscal federalism in India?

Model solution: Centre-State finance has moved from a dual plan/non-plan transfer system toward a more rule-based but still mixed architecture. During planned development, the Planning Commission shaped plan assistance and Centrally Sponsored Schemes while Finance Commissions handled tax sharing, grants and non-plan revenue gaps. Overlap increased State dependence on Union discretion.

Recent reforms altered this balance. FC-14 raised vertical devolution from 32 to 42 per cent, enlarging untied resources. The Planning Commission was replaced by NITI Aayog and the plan/non-plan expenditure distinction ended. GST created an Article 279A coordination forum but pooled substantial indirect-tax autonomy. FC-15 set 41 per cent and FC-16 retained it for 2026-31 while revising horizontal criteria and strengthening local-body, disaster and

transparency measures.

The impact is substantial but incomplete. Formula-based transfers aid autonomy and equalisation; however, cesses and surcharges reduce the shareable base, conditional schemes constrain flexibility, delayed SFCs weaken local finance and off-budget liabilities obscure risk. Reform should therefore combine transparent net-proceeds data, rationalised schemes, credible debt reporting and stronger State-local devolution.

ORIGINAL SOLVED MAINS PRACTICE - EXACTLY SIX

Original Mains 1 - 10 marks, 150 words

Question: Distinguish vertical and horizontal devolution and explain why both are necessary.

Model solution: Vertical devolution divides the Article 270 divisible pool between the Union and all States collectively; horizontal devolution distributes the States' share among individual States.

The first corrects the mismatch between the Union's stronger tax base and States' service-heavy responsibilities. FC-16's accepted 41 per cent vertical share is the current award rule for 2026-31. The second addresses unequal fiscal capacity and service-delivery cost across States. FC-16 therefore uses per-capita GSDP distance, population, demographic performance, area, forest and contribution to GDP.

Vertical sharing protects aggregate State fiscal space; horizontal sharing advances equalisation while recognising scale, ecology and contribution. Yet neither percentage alone determines outcomes: the divisible-pool base, grants, own revenues, debt and expenditure pressures matter. A balanced federation therefore needs both an adequate collective share and a transparent inter se formula.

Original Mains 2 - 10 marks, 150 words

Question: Why are Finance Commission recommendations advisory but politically weighty?

Model solution: Article 280 directs the Finance Commission to recommend; it does not make every proposal self-executing law. Implementation may require a Presidential order, Budget appropriation, legislation, guidelines and State compliance. Hence the recommendations are advisory.

Their political and constitutional weight is nevertheless high. The President appoints an expert body at regular intervals; Union and State governments submit evidence; the report gives public reasons for a national distribution formula. Article 281 then requires the recommendations and an explanatory memorandum on action taken to be laid before each House of Parliament.

FC-16 illustrates the distinction: the Union accepted the 41 per cent share and horizontal formula, accepted State borrowing ceilings only in principle, took note of the no-revenue-deficit-grant assessment and left other items for separate examination. Thus, non-binding advice remains difficult to ignore because deviation must be publicly justified amid recurring federal negotiations.

Original Mains 3 - 15 marks, 250 words

Question: Analyse the equity-efficiency balance in the Sixteenth Finance Commission's horizontal formula.

Model solution: The Sixteenth Finance Commission distributes the States' collective share through six criteria, combining equalisation, need, cost, ecology, demographic transition and economic contribution.

Equity remains dominant. Per-capita GSDP distance carries 42.5 per cent and gives larger relative allocation to States farther below the benchmark, correcting unequal fiscal capacity. Census 2011 population has 17.5 per cent, reflecting service scale. Area has 10 per cent with a 1.5 per cent floor, partly recognising cost disability.

Efficiency and externalities are integrated rather than isolated. The 10 per cent forest variable combines weighted forest stock with forest increase in an 80:20 ratio, compensating national ecological benefits and rewarding expansion. Demographic performance, also 10 per cent, uses inverse population growth between 1971 and 2011. Contribution to GDP receives 10 per cent, but square-root transformation moderates the dominance of large economies.

Compared with FC-15, tax/fiscal effort is removed as a separate criterion and GDP contribution is introduced. This makes growth contribution visible, while income distance preserves redistribution.

The balance is contestable: output can reflect inherited advantages, while strong equalisation may weaken visible reward for effort. Yet the formula avoids either extreme. Its legitimacy depends on transparent data, stable methods and recognition that horizontal shares do not alone determine State fiscal outcomes.

Original Mains 4 - 15 marks, 250 words

Question: Examine the constitutional and practical relationship between the Union Finance Commission and State Finance Commissions.

Model solution: The Union Finance Commission and State Finance Commissions form a two-level fiscal-decentralisation chain but are not hierarchical versions of one institution.

Under Article 280, the President constitutes the Union Finance Commission to recommend Union-State tax sharing, Article 275 grant principles and measures augmenting State Consolidated Funds for Panchayats and Municipalities. Articles 280(3)(bb) and (c) presently require the local-body measures to be based on State Finance Commission recommendations.

Article 243-I requires the Governor to constitute an SFC every fifth year to review Panchayat finances and recommend State-local tax sharing, assignment of revenues and grants. Article 243-Y extends this review to Municipalities. Thus, the SFC diagnoses intra-State needs, while the Union Commission augments the State-level resource envelope; the State makes allocations and onward transfers.

In practice, delayed SFCs, uneven data and weak action-taken reporting impair this chain. FC-16 responded by linking local-grant eligibility to timely SFC constitution, public accounts and a State-legislature action-taken report. It also recommended deleting the constitutional phrase requiring Union FC reliance on SFC recommendations, but no amendment was located by 8 September 2026.

Reform should retain State responsibility while improving SFC regularity, common accounting, audited data and prompt transfer. The Union Commission should supplement, not substitute for, constitutionally decentralised State-local finance.

Original Mains 5 - 20 marks, 250 words

Question: Critically examine the cesses-and-surcharges debate in Indian fiscal federalism.

Model solution: Cesses and surcharges expose the difference between a devolution rate and its tax base. Article 271 permits Parliament to levy surcharges for Union purposes, while Article 270 excludes such surcharges and specific-purpose cesses from the divisible pool. States therefore receive the recommended percentage of a legally narrower base than gross tax revenue.

States argue that growing excluded levies weaken the effective value of tax devolution and reduce untied fiscal space. FC-16's data show the divisible pool averaging 89.2 per cent of gross tax revenue in the FC-13 period, 82.1 per cent in FC-14 and 78.3 per cent in FC-15. This supports a base-erosion concern.

However, the Commission rejected the stronger claim that the FC-14 increase had been almost wiped out: total Finance Commission transfers remained materially above the FC-13 period. It also noted the Union's need for targeted fiscal capacity and that cess-funded schemes can benefit States.

FC-16 did not recommend including excluded levies in the pool or imposing a numerical cap, viewing such options as constitutionally problematic. Reform should therefore begin with annual CAG-certified net-proceeds disclosure, transparent utilisation, purpose-specific accounting and sunset review. Any inclusion or cap must follow the correct constitutional route.

The balanced conclusion is that exclusions are constitutionally valid, yet their scale and duration remain legitimate questions of federal accountability.

Original Mains 6 - 20 marks, 250 words

Question: Evaluate the Sixteenth Finance Commission as an instrument of cooperative fiscal federalism.

Model solution: The Sixteenth Finance Commission combines continuity in vertical sharing with significant redesign in horizontal devolution, local finance, disaster funding and fiscal transparency.

Its accepted 41 per cent State share preserves a predictable untied core for 2026-31. Horizontally, 42.5 per cent per-capita GSDP distance keeps equalisation central, while Census 2011 population, inverse 1971-2011 demographic performance, area, weighted forest and square-root-transformed GDP contribution balance need, cost, ecology and growth.

The Commission recommended no revenue-deficit, sector-specific or State-specific grants, but proposed Rs 7,91,493 crore for local bodies, Rs 2,04,401 crore for State disaster funds and Rs 79,406 crore for national disaster funds. Accepted local grants combine basic, performance, tied and untied components; later guidelines began operationalisation. It also sought annual disclosure of CAG-certified net proceeds and stronger debt transparency.

The design nevertheless raises concerns. Cesses and surcharges continue outside the pool; conditions may burden low-capacity States; delayed SFCs weaken local transfers; and several fiscal-roadmap proposals were accepted only in principle or left for separate examination. Recommendations remain advisory and implementation depends on orders, budgets, guidelines and compliance.

FC-16 is therefore a substantial cooperative-federal instrument, not a complete settlement. Its success should be judged by transparent implementation, real State autonomy, equalising outcomes, timely local transfers and honest whole-government debt accounts.